Atlas Technology Division | FP&A Case Study

Independent portfolio project. Fictional company; all data synthetic; salaries illustrative (benchmarked to public Leeds job-advert data). Not affiliated with Equifax or any employer, and not paid or client work. Developed with AI assistance.

Business problem

A Finance Business Partner supporting Data & Analytics, Product and Technology must explain monthly labour and contractor spend against budget, track which development labour can be capitalised, and close the month on time with reliable timecard data.

Reporting error identified

The first version of the model measured cost as recorded timecard hours × hourly rate and reported a 45% underspend. Salaried staff are paid in full whether or not they submit timecards, so missing timecards were being reported as savings.

Investigation and correction

Actual cost was rebuilt on a payroll basis (annual salary ÷ 12); timecards are used only to allocate payroll to projects. Unrealistic hourly rates (implying £113k–£205k salaries) were replaced with illustrative salaries of £42k–£90k, and the budget was rebuilt from headcount, salary, leave and contractor drivers.

October 2026 – budget vs actual (synthetic)

Expenditure was **£50,083** against a **£57,950** budget: a **£7,867 (13.6%) favourable** variance, fully explained by evidenced drivers. It is mainly timing, so the underspend should not be released. Expenditure includes a £7,500 contractor accrual, an estimate for services received but not yet invoiced.

Driver	Effect
Unfilled Senior Data Engineer post	–£6,500
Contractor started 11 days late	–£3,150
Contractor day rate above budget	+£750
Salaries above the budget rate card	+£1,033

Capitalised labour (IAS 38)

Of £22,412 potentially eligible development labour, **£7,917** met the evidence and approval rules and was capitalised. DEV-202's £13,615 of October cost remains expensed because technical feasibility could not be demonstrated when the cost was incurred; under IAS 38, cost expensed before the recognition criteria are met cannot later be added to the asset. Capitalisation changes where cost is reported – not payroll or cash.

Month-end control improvements (simulated)

Measure	Before investigation (6 Nov)	After investigation (10 Nov)
Timecard completeness	86.8%	90.3%
Unallocated payroll	£6,395	£5,218
Control exceptions	6	2
Close steps complete	3 of 10	10 of 10

Remaining partial-day gaps were not adjusted because reliable supporting evidence was unavailable in the simulation. The pack was released with three disclosed exceptions: partial-day timecards, DEV-202 evidence outstanding, and an £870 coding difference referred to the project manager.

Recommendations

Require full-day timecard booking • Treat the vacancy underspend as timing • Capitalise DEV-202 cost only once all criteria are demonstrated • Align budget allocations with the current resource plan • Reconcile the contractor accrual to the November invoice.

Tools and limitations

Excel: SUMIFS, COUNTIFS, SUMPRODUCT, INDEX/MATCH, named ranges, dropdowns, Excel Tables, conditional formatting, charts. The workbook and its tests were generated with AI assistance (Python) and recalculated in LibreOffice; testing included four negative test cases and a dataset seeded with 15 errors. Not yet tested in Microsoft Excel. The project-manager resource plan is synthetic, and employer on-costs are excluded from the primary cost model (capitalised amounts are therefore conservative).